

CaliforniaCORRESPONDENT Portfolio ARM Product Matrix for GMCC Hermes

Properties located in California Only

Primary Residence, Second Home and Investment Property
Purchase, Rate& Term Refinance, and Cash-Out Refinance

Rate Guide as of	Program	Rate	Base Price	Margin	Index
9/15/2025	7/6 Mo. ARM (5/1/5)	6.125%	99.75*	3.000%	30-Day Avg.
		6.250%	100.00*		

*Pricing is subject to change without notice. Investor exception approvals may include a 0.125 to 0.5 point charge.

Rate Adjustments	FICO/CLTV	<=60	60.01-65	65.01-70	70.01-75
Loan Amount ≤ \$2MM	700+	0.000%	0.000%	0.250%	0.375%
	680-699	0.125%	0.125%	0.375%	0.375%
\$2MM < Loan Amount ≤ \$3MM	680+	0.125%	0.125%	0.375%	0.500%
\$3MM < Loan Amount ≤ \$4MM	720+	0.125%	0.250%	0.375%	
Rate Adjustments (Other Terms)		<=60	60.01-65	65.01-70	70.01-75
Cash-Out		0.000%	0.250%	0.375%	0.500%
Condominium		0.000%	0.125%	0.375%	
2-4 Unit		0.125%	0.125%	0.125%	0.250%
Units + ADU (See ADU guidelines below)		0.125%	0.125%	0.250%	0.375%
Investment Property		0.125%	0.250%	0.250%	0.375%
Self-Prepared P&L Statement		0.500%	0.500%	0.500%	0.500%
Asset Based Income Option (ABIO)		0.500%	0.500%	0.500%	0.500%
Banks Statement Options (3MB & BBS)		0.125%	0.125%	0.125%	0.125%
Foreign National		0.500%			
30 Year Fixed		0.250%	0.250%	0.250%	0.250%

Extension Days	Extension Fee Costs
7-Day	0.125% from price
15-Day	0.250% from price

Alternative Documentation				
	Max Loan Amount	Max LTV/CLTV/HCLTV		Min FICO
1 Unit SFR & PUD, 2-4 Units	Up to \$3,000,000	75%	75%	680
	\$3,000,000.01 to \$4,000,000**	70%	70%	720
Condominium	Up to \$2,000,000	70%	70%	680
Foreign Nationals	Up to \$4,000,000**	60%	60%	N/A
Cash-Out Refinance	Cash-Out LTVs are limited by Property type and Foreign National LTV requirements listed above.			
	6 month seasoning required. Delayed Financing is acceptable subject to UW guidelines.			

** Loan Amounts Greater than \$4MM, please call to inquire.

Asset Based Income Option, 3 Month Bank Statement Documentations, and Business Bank Statements				
	Max Loan Amount	Max LTV/CLTV/HCLTV		Min FICO
1 Unit SFR & PUD, 2-4 Units	Up to \$3,000,000	75%	75%	680
	\$3,000,000.01 to \$4,000,000**	70%	70%	720
Condominium	Up to \$2,000,000	70%	70%	700
Cash-Out Refinance	Not Available for ABIO, 3MB, or BBS			
Foreign Nationals	Not Available for ABIO, 3MB, or BBS			

Credit Standards	
Mortgage/Rent	Max 1x30 in past 12 months
Tradelines	3 tradelines seasoned for at least 12 months required
Bankruptcy / SS&DIL / Foreclosure	5yrs/5yrs/5yrs
Loan Modification	5yrs

Asset/Reserves		
Property Type	Loan Amount	Required Reserve (P&I)
All Property Type	Loan Amount up to \$2,000,000	2 months in a US Financial Institution
	Loan Amount > \$2,000,000	6 months in a US Financial Institution
Units + ADUs	Loan Amount up to \$4,000,000	6 months in a US Financial Institution
Cash-Out Refinances	Loan Amount up to \$2,000,000	6 months in a US Financial Institution*
	Loan Amount > \$2,000,000	6 months in an investor Bank Deposit Account
Foreign Nationals	Loan Amount up to \$4,000,000	12 months in a US Financial Institution 6 months in an investor Bank Deposit Account
ABIO, 3MB, and BBS	Loan Amount up to \$4,000,000	6 months in a US Financial Institution
- Most recent 2 months of bank statement required. - Reserves must be borrower’s own funds. - Business Funds: may be used up to 100% of the current balance if the borrower can demonstrate 100% ownership of the business and be transferred into a personal account. *All Cash-Out Assets must be Liquid – Checking, Savings, or MMA. Cash-Out funds can only be used for reserves if deposited into investor Bank w/ ACH.		

** Pricing, Rates, and terms and conditions are subject to change without notice **

California CORRESPONDENT Portfolio ARM Product Matrix for GMCC Hermes (Continued)

Income Documentation – Alternative Documentation	
<u>Self-Employed</u>	- For application received on or before 6/30: YTD and full year of interim Profit & Loss Statement completed and signed by independent 3rd party. - For application received on or after 7/1: YTD Profit & Loss Statement completed and signed by an independent third party. - CPA Letter (from CPA that prepared previous 2 years tax returns) verifying prepared business ownership and same location for at least 2 year & 2years business **Self-prepared P&L is available with add-on to rate**
<u>Salary Employees</u>	- Written VOE form (FNMA Form 1005) completed by employer.

Asset Based Income Option (ABIO) Employment and Income Documentation	
<u>Self-Employed Verification</u>	Definitive Description of Business, Industry, and Borrower’s Title listed on 1003 will be required. Please also provide two of the following three options: 1. CPA Letter verifying business ownership for at least 2 years, 2. 2 years of business license, 3. Current Employment (1003) listed on the credit report or Third-party listing to verify business name and phone #.
<u>Salary Employees Verification</u>	- Verbal Verification of Employment / Current Employment (1003) must show on credit report.
<u>Income Calculation</u>	- The lower of the listed income on the 1008 and the Total Verified Assets/6 (Reasonability of Income Applies). - Large deposits of more than 100% of the monthly income must be sourced.

3 Month Bank Statement Option (3MB) Employment and Income Documentation	
<u>Self-Employed Verification</u>	Definitive Description of Business, Industry, and Borrower’s Title listed on 1003 will be required. Please also provide two of the following three options: 1. CPA Letter verifying business ownership for at least 2 years, 2. 2 years of business license, 3. Current Employment (1003) listed on the credit report or Third-party listing to verify business name and phone #.
<u>Salary Employees Verification</u>	- Verbal Verification of Employment.
<u>Income Calculation</u>	- Calculate the average total deposits of 3 consecutive bank statements. Max age of documents is 90 days. - Source and explain all large deposits more than 150% of calculated average monthly income.

6 Month Business Bank Statement (BBS) Option Employment and Income Documentation	
<u>Self-Employed Verification</u>	Definitive Description of Business, Industry, and Borrower’s Title listed on 1003 will be required. Please also provide two of the following four options: 1. CPA Letter verifying business ownership for at least 2 years, 2. 2 years of business license, 3. Current Employment (1003) listed on the credit report or Third-party listing to verify business name and phone #, 4. Business Name listed on third party asset statements.
<u>Income Calculation</u>	- Calculate the average total deposits of 6 consecutive bank statements and reduce the net income by 50% for expense ratio. Max age of documents is 90 days. Income must be adjusted based on percentage of ownership (must be ≥ 25% ownership). - A 50% expense ratio is required regardless of business type.

General Underwriting Guidelines	
- Maximum Front-end / Total Debt-to-Income (DTI) ratio allowed: 38/43% - Qualifying Interest Rate: the greater of start rate or fully indexed rate. - Condo must be warrantable by Fannie Mae; non-warrantable condominiums will be reviewed on an individual basis. - No minimum borrower contribution on Owner Occupied and Second Homes (excludes Foreign National).	- Gifts are allowed for 100% of down payment for all occupancies and properties. - No gift funds may be used for reserves. ABIO & BS will still require borrower’s own funds to validate the income even if no minimum contribution is required for down payment and/or closing costs. - Foreign Asset must be transferred to U.S Institutional Bank to be used as down payment, closing cost & reserves. - Subject property cannot be listed for sale at the application date for R&T and C/O. - Loan amount > \$2.5MM requires a prior approval by investor Bank with \$750 Underwriting Fee.

Foreign National Guidelines	
- Copy of passport, I-94 and valid VISA (F-1 and F-2 type are not allowed). - Copy of passport and either I-94W or proof of ESTA Approval required for borrowers on VISA Waiver Program. - Borrower must have U.S. address when applying for loan.	- Foreign assets used for down payment, closing costs, and/or reserves must be transferred to U.S. institutional account prior to ordering loan docs. - Automatic debit payment required from U.S. banking institution. - 12 months P&I reserves are required for subject property. 6 P&I reserves to be deposited into investor Bank account prior to funding.

ADU Guidelines	
- ADU’s must be permitted. - Allow ADU’s on 2-4 Unit properties including multiple ADU’s. - ADU’s + Units > 4 are no longer eligible.	- Rental income from ADU is not acceptable and cannot be used toward qualification.

Appraisal Guidelines	
Loan Amount	Appraisal Requirement
Up to \$4,000,000	One Full Appraisal and one Desk Review
Streamlined Loan (investor Bank-Owned Refinance)	2055 Appraisal Only

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